



Subject Name :Entrepreneurship Development

Unit No: 3

**Unit Name : Funding and Institutional Support
to an Entrepreneur**

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Unit 3 :Funding and Institutional Support to an Entrepreneur



Content

Unit 3 : Funding and Institutional Support to an Entrepreneur

- Government policies and schemes for enterprise development.
- Institutional support to an entrepreneurial development
- Training for entrepreneurship development, Entrepreneurial Development Program (EDP)
- Incubation, Role of Incubation Centers
- Role of Mentors in promoting Entrepreneurs



Government policies and schemes for enterprise development



Introduction

Enterprise development refers to the **process of promoting and supporting the creation, growth, and sustainability of businesses**, especially **Micro, Small, and Medium Enterprises (MSMEs)**. Government play a vital role in providing **policy support, financial assistance, infrastructure, training, and incentives** to entrepreneurs.

In a developing country like India, government policies focus on:

- Promoting entrepreneurship
- Generating employment
- Encouraging innovation and technology
- Developing rural and small-scale industries
- Reducing regional economic disparities



Role of Government in Enterprise Development

The government performs several functions to support enterprises:

1. Policy Formulation

Creating policies that encourage business growth and entrepreneurship.

2. Financial Assistance

Providing loans, subsidies, grants, and venture capital.

3. Infrastructure Development

Establishing industrial parks, SEZs, and incubation centers.

4. Training and Skill Development

Providing entrepreneurship training and development programs.

5. Market Support

Helping businesses with marketing, exports, and digital platforms.



Major Government Institutions Supporting Enterprise Development

1. Ministry of Micro, Small and Medium Enterprises

Responsible for policies and programs that support MSME development.

2. Small Industries Development Bank of India

Provides financial support and credit facilities to small businesses.

It serves as the principal financial institution for promoting, financing, and developing India's micro, small, and medium enterprises (MSMEs), which are key drivers of employment and innovation in the Indian economy.

3. National Small Industries Corporation

Supports MSMEs through marketing assistance and technology support.

4. Khadi and Village Industries Commission

Promotes rural entrepreneurship and village industries.



Important Government Schemes for Enterprise Development

1. Startup India

Launch Date: 16 January 2016

Objective:

To promote **innovation, startup culture, and entrepreneurship** in India.

Key Features

- Tax exemptions for startups
- Simplified registration process
- Startup incubators and mentorship
- Government funding support

Impact

Helped create a strong **startup ecosystem and innovation culture** in India.



Important Government Schemes for Enterprise Development

2. Stand Up India Scheme

Launch Date: 5 April 2016

Objective

To promote entrepreneurship among **women entrepreneurs**.

Key Features

- Loans from ₹10 lakh to ₹1 crore
- Support for greenfield enterprises
- Assistance for business setup

3. Pradhan Mantri Mudra Yojana

Launch Date: 8 April 2015

Objective

To provide **collateral-free loans** to micro and small entrepreneurs.

Loan Categories

Shishu – up to ₹50,000

Kishor – ₹50,000 to ₹5 lakh

Tarun – ₹5 lakh to ₹10 lakh

Beneficiaries: Small traders, Shopkeepers, Service sector entrepreneurs,
Small manufacturers



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Important Government Schemes for Enterprise Development

4. Prime Minister's Employment Generation Programme

Launch Year: 2008

Objective

To create **self-employment opportunities** by establishing micro enterprises.

Key Features

- Subsidy on loans for manufacturing and service units
- Implemented through **Khadi and Village Industries Commission (KVIC)**
- Focus on **rural and urban entrepreneurs**

5. Skill India Mission

Launch Date: 15 July 2015

Objective

To improve **skill development and employability of youth.**

Key Features

- Vocational training programs
- Industry-relevant skill courses
- Entrepreneurship training

Importance

Helps create a **skilled workforce for enterprise development.**



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Important Government Schemes for Enterprise Development

6. Digital India Programme

Launch Date: 1 July 2015

Objective

To transform India into a **digitally empowered economy and society**.

Benefits for Entrepreneurs

- Growth of **digital startups**
- Expansion of **e-commerce businesses**
- Digital payment systems
- Online government services

7. Make In India

Launch Date: 2014

Objective

To Promote manufacturing and investment



Reference for Government policies and schemes for enterprise development

<https://www.startupindia.gov.in/content/sih/en/government-schemes.html>



Institutional support to an entrepreneurial development



Introduction

Institutional support system is necessary at three stages enterprise development:

- ✓☒ Inception or Promotion
- ✓☒ Day-to-day management
- ✓☒ Expansion and Diversification

Institutional support refers to the **assistance provided by government agencies, financial institutions, research organizations, and training institutes** to encourage the establishment and growth of enterprises.



Introduction

This institutional support system has been designed at following four levels:

1. Central Government
2. State Government
3. Non-Government Support System
4. District Industries Centres (DIC).



Some such support measures are being discussed briefly below:

- (i) Small Scale Industries Board (SSIB)**
- (ii) National Bank for Agriculture and Rural Development (NABARD)**
- (iii) Small Industries Development Organisation (SIDO)**
- (iv) National Small Industries Corporation (NSIC)**
- (v) Small Industries Development Bank of India (SIDESI)**
- (vi) National Board for Micro, Small and Medium Enterprises (NBMSME)**



1. Central Government Institutions:

(i) Small Scale Industries Board (SSIB)

It was established in 1954 to provide effective coordination and inter-institutional linkages for the benefit of small scale sector.

It consists of the following members:

- a. Union Industry Minister
- b. State Industry Minister
- c. Selected members of Parliament
- d. Secretaries of department concerned
- e. Eminent experts in the field



1. Central Government Institutions:

(ii) National Bank for Agriculture and Rural Development (NABARD)

NABARD is designated as an apex development bank in the country. This national bank was established in 1982 by a Special Act of the Parliament, with a mandate to uplift rural India by facilitating credit flow in agriculture, cottage and village industries, handicrafts and small-scale industries. It is also required to support non-farm sector while promoting other allied economic activities in rural areas. NABARD functions to promote sustainable rural development for attaining prosperity of rural areas in India.



1. Central Government Institutions:

(iii) Small Industries Development Organisation (SIDO):

It was constituted in 1954 to develop support services for promotion of SSS.

Main Objectives of SIDO are:

- i. To formulate policy for promotion of SSI
- ii. To Provide coordination of policies of state government
- iii. To collect and disseminate information
- iv. To provide wide range of extension services through allied institutions
- v. To promote facilities for technology up gradation



1. Central Government Institutions:

(iv) National Small Industries Corporation (NSIC)

The National Small Industries Corporation (NSIC) Ltd. was established by the Government as a Public Sector Company in 1955.

Its main functions are:

- i. To arrange for Supply of machinery and equipment.
- ii. To arrange Provision of financial assistance.
- iii. To provide Assistance for arrangement of raw materials.
- iv. To aid establishment of technology transfer centres.
- v. To make arrangement of marketing assistance.
- vi. To ensure priority in government purchase programme
- vii. To promote, aid, and foster the growth of micro and small enterprises in the country, generally on a commercial basis



1. Central Government Institutions:

(v) Small Industries Development Bank of India (SIDESI) :

It is a Subsidiary of IDBI and was setup as an act of parliament, for ensuring larger flow of financial and non-financial assistance to the small scale sector.

It provides assistance for:

- i. Setting up of new SSI units, small hotels, hospitals and so on.
- ii. Technological up gradation and modernization, expansion and diversification.
- iii. Quality up gradation
- iv. Development of markets
- v. Development of infrastructure.
- vi. Discounting of bills of manufacturer-seller in selling either equipments or components.



1. Central Government Institutions:

(vi) National Board for Micro, Small and Medium Enterprises (NBMSME)

The main purpose of the board is:

- i. To solve the various issues relating to development of MSMEs
- ii. To come out with remedial measures which are undertaken in consultation with the concerned departments/agencies.

2. State Government Institutions:

- (i) State Financial Corporation (SFC):**
- (ii) State Small Industries Development Corporation (SSIDC):**
- (iii) Technical Consultancy Organisations (TCOs):**
- (iv) Khadi and Village Industries Commission (KVIC):**



(i) State Financial Corporation (SFC):

Its main objectives are:

- i. To provide term loans for the acquisition of land, building, plant and machinery.
- ii. To promote of self-employment.
- iii. To encourage women entrepreneurs
- iv. To bring about expansion of industry
- v. To provide seed capital assistance.



(ii) State Small Industries Development Corporation (SSIDC):

The State Small Industries Development Corporations (SSIDC) were set up in various states under the companies' act 1956, as state government undertakings to cater to the primary developmental needs of the small tiny and village industries in the state/union territories under their jurisdiction.

SSIDC provides the following important functions:

- i. Procurement and distribution of raw materials.
- ii. Supply of machine on hire-purchase basis
- iii. Construction of industrial estates.
- iv. Providing assistance for marketing of products of SSI.



(iii) Technical Consultancy Organisations (TCOs):

Services of TCOs include:

- i. Preparation of project profiles.
- ii. Undertaking industrial potential surveys.
- iii. Identification of potential entrepreneurs.
- iv. Undertaking market research.
- v. Project supervision and rendering technical and administrative assistance.
- vi. Conducting EDPs.



(iv) Khadi and Village Industries Commission (KVIC):

It is engaged in the development of khadi and village industries in rural areas.

Main objectives of KVIC are:

- i. To provide employment in rural areas.
- ii. To help in skill improvement.
- iii. To bring about rural industrialization.
- iv. To facilitate transfer of technology.



3. Non-Government Institutions:

- (I) Indian Council of Small Industries (ICSI)**
- (II) Laghu Udyog Bharti (LUB)**
- (III) India SME Technology Services Ltd.**
- (IV) Credit Guarantee Fund Trust for Micro and Small Industries**
- (V) Federation of Associations of Small Industries of India (FASII)**
- (VI) World Association of Small and Medium Enterprises (WASME)**
- (VII) Federation of Indian Chambers of Commerce and Industry (FICCI)**
- (VIII) Small and Medium Business Development Chamber of India (SME Chamber of India)**
- (IX) Confederation of Indian Industry (CII)**



3. Non-Government Institutions:

Besides the Central Government and the State Government agencies, there are some Non-Governmental agencies that are also supporting the cause of small scale industries in the country. These agencies include Non- Government organisations and industry associations. They provide a common platform to voice SSI needs and initiate co-operative efforts.

Government policies have stressed the increasing role of these associations and NGO's in setting up common facilities and other cooperative ventures in technology, marketing and other support systems.



(I) Indian Council of Small Industries (ICSI):

It was established in 1979 to help tiny, cottage and small industries and artisans of rural areas. Membership of ICSI constitutes about 1500 associations of the decentralized sector.

Main functions of ICSI are:

- i. Information dissemination.
- ii. Entrepreneurship development.
- iii. Consultancy and managerial support.
- iv. Training and research.



(II) Laghu Udyog Bharti (LUB):

Laghu Udyog Bharti (LUB) was founded in 1995 to promote and safeguard the interest of tiny and small scale industries. It has been given representation on the national and the state level government bodies responsible for the development of SSIs. It is also responsible for undertaking entrepreneurial training, providing support for technology up gradation and marketing services.

LUB performs following functions:

- i. Entrepreneurial training.
- ii. Technology up gradation.
- iii. Marketing services.



(III) India SME Technology Services Ltd.:

India SME Technology Services Ltd. (ISTSL) provides a platform where micro, small and medium enterprises can tap opportunities at the global level for acquisition of new and emerging technology or establish business collaboration.

Their mission is:

To render professional services for technology transfer and attendant support services in order to enhance market competitiveness of micro, small and medium enterprises and promote sustainable development.



(IV) Credit Guarantee Fund Trust for Micro and Small Industries:

A Credit Guarantee Fund Scheme for small industries was launched by the Government and the SIDBI set up the Credit Guarantee Fund Trust for Small Industries (CGTSI),

Mission.

to implement the credit guarantee fund scheme for micro and small enterprise in August 2000 to ensure better flow of credit to micro and small enterprises by minimising the risk perception of banks/ financial institutions in lending without collateral security.



(V) Federation of Associations of Small Industries of India (FASII):

Its objectives are as follows:

- i. To promote the development of small scale, tiny and cottage industries;
- ii. To cooperate with industrial business, educational institutions in collecting and exchanging information pertaining to the small scale sector;
- iii. To undertake professional, technical and management consultation services;
- iv. To undertake studies, surveys and research assignments;
- v. To further the cause of small industries by interacting with Union and State Governments and other bodies;
- vi. To establish and operate trade centres display centres, sub-contracts exchanges and other promotional institutions for the benefit of the small scale sector and
- vii. To establish test centres, laboratories and common facility centres for the SSI sector.



(VI) World Association of Small and Medium Enterprises (WASME):

The World Association for Small and Medium Enterprises was founded in 1981 to ensure business cooperation among its members. Its membership represents chamber of commerce, small industries development corporations, financial institutions and commercial banks and other State Government agencies of developing countries.

It facilitates:

- i. Technology transfer
- ii. Manpower training
- iii. Maintaining a register of experts/consultants, organising seminars and conferences
- iv. And acts as a clearing house of information and marketing services etc.



(VII) Federation of Indian Chambers of Commerce and Industry (FICCI):

The FICCI was established in 1927 as the national agency through which the chambers of commerce and trade association in India could crystallize their views on current economic problems.

It serves as the coordinating agency for the commercial and industrial interests as represented by various chambers of commerce and trade associations. The Federation maintains very close relations with the Union Government and is also represented on over 65 advisory committees appointed by the Government and other leading organisations.



(VIII) Small and Medium Business Development Chamber of India (SME Chamber of India):

The chamber puts all its efforts for the development and growth of MSMEs by organising various activities to accomplish its objectives. The Chamber provides information and guidance to new and existing entrepreneurs in effectively managing and growing their business. The Chamber has developed key strategies to promote and support the MSME sector. The Chamber also gives importance to and encourages MSMEs to adopt innovative ideas and concepts for the promotion of their business.



The chamber organises:

- i. Seminars
- ii. Conferences,
- iii. Workshops and Training Programs
- iv. And other trade promotional activities to educate & create awareness among MSMEs.
- v. The Chamber recognises successful entrepreneurs by conferring National & International Level MSME and Entrepreneurship Excellence Awards for their outstanding achievements in the fields of Manufacturing, Services, International Trade, Finance, Agro & Food Processing, IT and IT Enabled Services, Telecommunication, Research, Technology Development and other sectors.



(IX) Confederation of Indian Industry (CII):

It was created in 1992 by changing the name of Confederation of Engineering Industry. It is responsible for advisory, consultative and representative services to industry and the Government. It has been given representation on major policy formulating bodies, related with the industry. It also works like a nodal agency for international industrial cooperation.



4. District Industries Centres (DIC) & Industrial Estates:

In each district, there is one agency to deal with all requirements of small and village Industries. This is called “District Industries Centre”, The District Industries Centres have undertaken various programmes for investment promotion at the grass root level such as organizing seminars workshops, extending support for trade fairs and exhibitions organized by various Industry’s associations.

All the services and support required for MSME units under was the single roof of the District Industries Centre. The Centre has a separate wing to look after the special needs of cottage and household industries as district from small industries.



The District Industries Centres have undertaken various programmes for investment promotion at the grass root level such as:

- i. Organizing seminars workshops, extending support for trade fairs and exhibitions organized by various Industries associations.
- ii. All the services and support required by for MSME units under the single roof of the District Industries Centre.

The DICs provide and arrange a package of assistance and facilities for credit guidance, raw materials, training, marketing etc. including the necessary help to unemployed educated young entrepreneurs in general.

DIC extends promotional, technical, physical, financial, marketing and all other type of services, required for growth and development of SSI.



Training for entrepreneurship development, Entrepreneurial Development Program(EDP)



Introduction

Entrepreneurship development training refers to structured efforts aimed at:

- Developing entrepreneurial competencies
- Enhancing skills required to start and manage a business
- Encouraging self-employment and innovation

It focuses on transforming individuals from **job seekers to job creators**.

An **Entrepreneurial Development Programme (EDP)** is a **systematic training program** designed to:

- Motivate individuals to become entrepreneurs
- Provide necessary knowledge and skills
- Help in establishing and managing enterprises



Need for EDP

- Rising **unemployment problem**
- Underutilization of **resources**
- Need for **industrial growth**
- Promotion of **MSMEs and startups**
- Regional and balanced development
- Encouragement of **innovation and technology adoption**



Need for EDP

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Contents of EDP Training Programme

A. Behavioral Training

- Achievement motivation
- Leadership skills
- Decision-making ability
- Communication skills
- Time management

B. Technical Training

- Industry-specific skills
- Production processes
- Quality control

C. Managerial Training

- Planning and organizing
- Financial management
- Marketing strategies
- Human resource management



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Institutions Supporting EDP in India

Key Organizations:

- **Entrepreneurship Development Institute of India**
- **National Institute for Entrepreneurship and Small Business Development**
- **Small Industries Development Bank of India**
- **Micro, Small and Medium Enterprises**

These institutions provide:

- Training programs
- Financial assistance
- Consultancy and mentoring



Success Factors of EDP

- Proper selection of candidates
- Qualified trainers and mentors
- Practical-oriented training
- Continuous support and follow-up
- Access to finance and markets



Incubation, Role of Incubation Centers



Meaning of Incubation

- Incubation

Incubation is a process of supporting startups and entrepreneurs by providing resources, mentorship, and infrastructure to help them grow successfully.

- Incubation Centers

Organizations that support startups in early stages
Provide workspace, funding support, and guidance
Act as a bridge between idea and business



Objectives of Incubation Centers

- Promote entrepreneurship
 - Generate employment
 - Support innovation
 - Reduce startup failure rate
 - Encourage economic development
-
- Incubation centers in IITs help tech startups develop prototypes
-
- A rural entrepreneur starting a small food business → incubation helps scale it and create jobs



Services Provided

- Office space & infrastructure
- Mentorship & training
- Funding support
- Networking opportunities
- Legal & technical support



Types of Incubation Centers

- University-based incubators – Colleges, IITs
- Private incubators – Independent Organizations
- Government incubators – Supported by Government
- Corporate incubators – Companies



Benefits and Challenges of Incubation Centers

Benefits:

- Lower risk
- Faster growth
- Expert guidance

Instead of failing in 1 year, a startup survives longer due to support

Challenges:

- Limited funding
- Lack of awareness
- Competition

Example:

Many startups don't know incubation exists

Some incubators don't have enough resources



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Role of Mentors in promoting Entrepreneurs

Mentors are a **key part of incubation centers** and:

- Guide startups regularly
- Conduct training sessions
- Provide feedback on business plans
- Advises on expansion strategies
- Helps in entering new markets
- Helps manage stress and uncertainty

Example:

Startup India incubation programs connect startups with experienced mentors



Thank You



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